

the first leg from point E to point F. Points E1 and E2 mark the corrective phase. Also notice that price recovers to G (near the middle of corrective phase E1-E2) before dropping again.

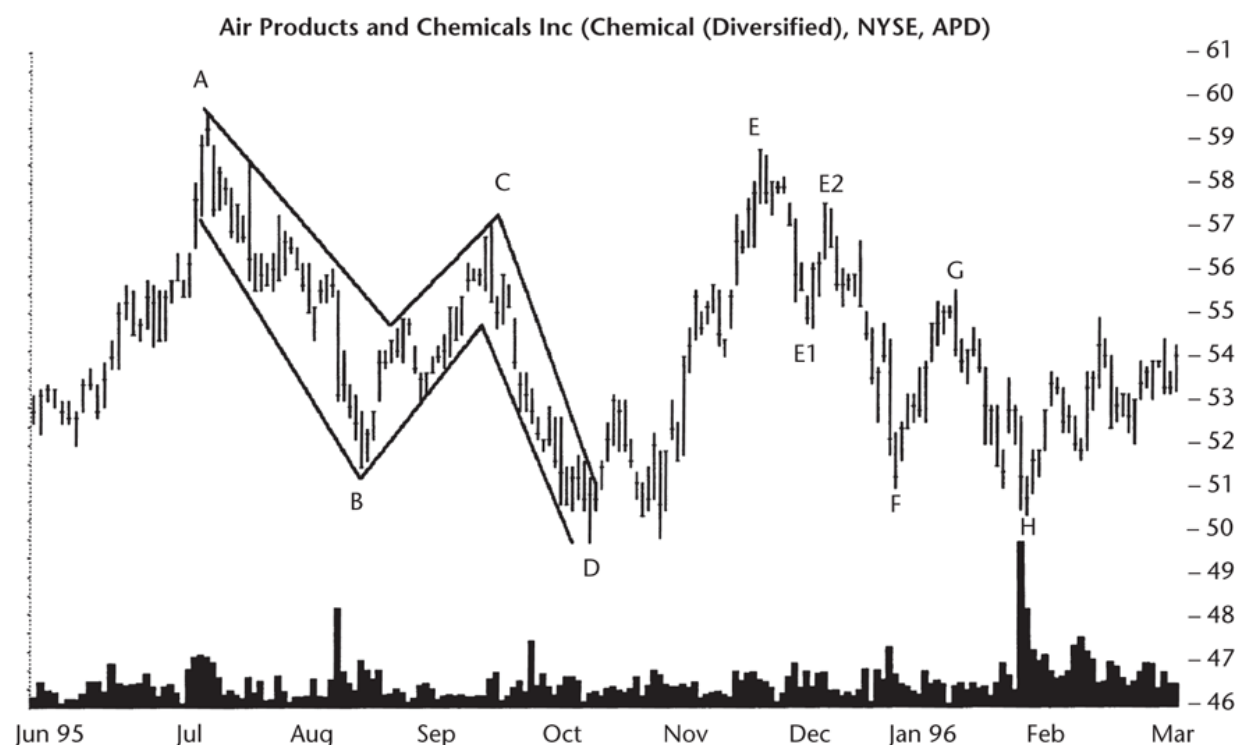


Figure 46.2 Notice how measured move ABCD has legs that fit inside channels. With well-behaved measured moves, the price decline from C to D nearly matches the decline from A to B.

Focus on Failures

Figure 46.3 shows a failure of a measured move to see an extensive second leg decline.

The potential measured move down starts at peak A. Price drops in a straight-line run lower, looking as if a flag or pennant might appear along the trend. However, just past the midway part of the trend, the stock bends to the right. The straight-line run down isn't straight anymore. That's a warning that this measured move might not be as perfect as we hope. (Avoid relying on measured moves when price curves during creation of the first leg.)